

IN THE SUPREME COURT OF PAKISTAN
(APPELLATE JURISDICTION)

PRESENT:

JUSTICE MALIK SHAHZAD AHMAD KHAN
JUSTICE AQEEL AHMED ABBASI

CRIMINAL PETITION NO. 10-L OF 2026

*(On appeal against the order dated 06.01.2026 of the
Lahore High Court, Lahore in Cr. Misc. No. 74054-B
of 2025)*

Liaqat Ali

... Petitioner

Versus

The State through PG Punjab and another

... Respondents

For the Petitioner: Mr. Muhammad Nawaz Shah, ASC a/w
petitioner
(Via video link from Lahore)

For the State: Mirza Abid Majeed, Addl. P.G. Punjab
Mr. Ghafoor Ahmed, ASI

Assisted by: Mr. Ghulam Muhammad Adnan, Law Clerk

Date of Hearing: 28.01.2026

JUDGMENT

MALIK SHAHZAD AHMAD KHAN, J.- Through the instant petition, Liaqat Ali, petitioner, has assailed the order dated 06.01.2026 passed by the learned Lahore High Court, Lahore, with the prayer to set aside the said order and grant pre-arrest bail to him in case registered vide FIR No. 3299 dated 17.10.2025 under Section 406 PPC at Police Station Islampura, District Lahore.

2. Arguments heard. Record perused.

3. As per brief allegations levelled in the FIR, on 17.07.2025, the petitioner being a property dealer, showed a house to the complainant for mortgage, which house was owned by Mohsin Irfan (co-accused). The petitioner told the rate of the house for mortgage as Rs.12,00,000/-. The petitioner and Mohsin Irfan

(co-accused) received an amount of Rs.700,000/- from the complainant as an advance for the mortgage of the house. However, the accused persons did not give possession of the house to the complainant on the pretext that the paint work of the house was still to be completed and told the complainant that his amount was lying with them as a trust (Amanat). A period of two months elapsed but the petitioner and his co-accused neither returned the amount to the complainant nor gave possession of the house to him, hence, the FIR of this case.

4. It is contended by learned counsel for the petitioner that ingredients of offence under section 406 PPC are not attracted in this case and the Police in connivance with the complainant has *mala fide*ly lodged the FIR in a case of civil nature and the same is liable to be quashed instead of granting pre-arrest bail to the petitioner.

5. Learned Law Officer has vehemently opposed the above argument.

6. After hearing arguments of learned counsel for the petitioner and the learned Law Officer, we are of the view that it is a fit case for quashment of FIR due to the reasons detailed below.

7. It is evident from the bare perusal of the contents of the FIR that an amount of Rs.700,000/- was statedly paid by the complainant to the petitioner and owner of the property namely Mohsin Irfan (co-accused). A written agreement for mortgage of the property was also executed in this respect between the parties. The petitioner was a property dealer, who introduced the complainant to the above-mentioned owner of the house. Later on, the petitioner and owner of the house refused to act upon the above-

mentioned written agreement of mortgage of property. It is, therefore, evident that the amount in question was given in a property deal and at the most it was a case of civil nature regarding specific performance of the above-mentioned agreement of mortgage. There is no allegation that Mohsin Irfan (co-accused) was not the owner of the house for which he executed a mortgage agreement with the complainant. As per contents of the FIR, a total amount of Rs.12,00,000/- was settled between the parties for the mortgage of the house in question and an amount of Rs.700,000/- was paid as advance by the complainant to the accused whereas an amount of Rs.500,000/- was still outstanding against the complainant. It is claim of the petitioner that infact the complainant breached the terms and conditions of the above-referred written agreement of mortgage by not paying the remaining amount of Rs.500,000/- to the owner of the house within the period agreed between the parties, whereas, according to the learned Law Officer the complainant was ready to perform his part of the agreement by paying the remaining amount. Without commenting upon the merits and demerits of the above-mentioned respective claims of the parties, it is evident from the admitted facts of this case that the proper forum for the decision of the dispute of the parties is the civil court, where it will be determined that which party to the agreement was not specifically performing his/their part of the agreement. The ingredients of offence as envisaged under Section 405 PPC punishable under section 406 PPC are not attracted in this case because neither any trust was created nor it was specified that in which manner the said trust was to be discharged. Although learned Additional

Prosecutor General has argued that the word *Amanat* (trust) has specifically been mentioned by the complainant in the contents of the FIR, therefore, the offence mentioned in the FIR is very much attracted in this case but it is by now well settled that by merely mentioning the word *Amanat* (trust) in the FIR, would not attract the provisions of offence under section 406 PPC, if the same are not otherwise attracted in a case. Reference in this context may be made to the judgments reported as “Miraj Khan v. Gul Ahmad and 03 others” (2000 SCMR 122). Further reference may be made to the judgments reported as “Muhammad Ali and another v. Assistant Commissioner, Narowal and another” (1987 SCMR 795), “Shaukat Ali Sagar v. Station House Officer, Police station Batala Colony, Faisalabad and 5 others” (2006 P.Cr.L.J 1900), “Abdul Razzaq Vs. The State” (1977 P.Cr.L.J 52) and “Umair Aslam v. Station House Officer and 7 others” (2014 P.Cr.L.J 1305).

In the case of **Abdul Razzaq** supra, the FIR under Sections 406/420 PPC was quashed where the allegation was that the complainant pledged his jewelry with the accused jewelers against a loan amount but inspite of repayment of the loan amount, the pledged jewelry was not returned to him. The FIR in the said case was quashed on the ground that the transaction between the parties was based on a contractual liability, therefore, only the civil court could be the proper forum for settling of the dispute between the parties.

Likewise in the case of **Muhammad Ali** ibid, the allegation against the accused was that he received an amount of Rs.11,200/- from the complainant with the promise to give him contract for running a cinema canteen but the accused neither

gave the contract to the complainant for running the cinema canteen nor he returned the above-mentioned amount, therefore, the FIR under Sections 406 & 420 PPC was registered against the accused. This Court quashed the FIR of the said case mainly on the ground that the dispute between the parties was of civil nature (of the performance of contract).

Similarly, in paragraph No. 5 of the judgment in the case of **Umair Aslam** supra, the allegations levelled by the complainant in the contents of the FIR were reproduced as under:-

"الزام علیہاں شعیب، عمیر، محمد خان، وحیدہ نذیر، غلام مصطفیٰ اور حیدر علی نے جھانسدہ دیکر مجھ سے طے شدہ معاہدہ کے علاوہ مبلغ سولہ لاکھ روپے لیکر اب نہ تو اراضی کی رجسٹری کرواتے ہیں اور نہ ہی میری امانت رقم واپس کرتے ہیں۔ ملزمان نے فراڈ کرتے ہوئے میری امانت رقم کا تصرف بے جا کر کے 406/420 کا ریکاب کیا ہے۔"

The FIR of the said case was also quashed on the ground that the amount of Rs.16,00,000/- mentioned in the FIR was given in the backdrop of a property deal and according to the prosecution case the accused were not ready for execution of the sale deed. It was held in the said judgment that the above dispute was only to be decided by the civil court through a suit for specific performance of contract against the accused. It was further observed that the criminal proceedings on the basis of the amount mentioned in the FIR were sheer abuse of process of law, which cannot be allowed. Consequently, the FIR under Sections 406/420 PPC was quashed.

8. As mentioned earlier, it is evident from the perusal of the contents of the FIR that at the most it was a case of civil nature regarding the recovery of cash amount which was allegedly given by the complainant to the accused or for specific performance of written agreement of mortgage executed between the parties but in

order to blackmail and pressurize the petitioner and his co-accused, machinery of law has malafidely been set into motion by the complainant while converting the civil dispute into a criminal offence.

9. It has next been argued by learned Additional Prosecutor General that the petitioner may be directed to first file a petition under Section 249-A Cr.P.C, before the learned trial Court but it is noteworthy that from the facts of the present case, there is no probability of conviction of the petitioner, therefore, asking the petitioner to first approach the learned trial Court to move a petition under Section 249-A Cr.P.C, shall amount to sheer abuse of the process of law and the Court. Reference in this context may be made to the judgment reported as **“Miraj Khan Vs. Gul Ahmed and 3 others” (2000 SCMR 122)** wherein this Court approved the quashment of the FIR under Section 406 PPC by the High Court under Section 561-A Cr.P.C., in a similar situation, without filing of any petition by the accused under Section 249-A Cr.P.C. before the Trial Court.

10. It is true that through the instant petition, the petitioner seeks pre-arrest bail but after perusal of the record, we are of the view that no criminal offence is made out against the accused, therefore, there is no bar to convert the instant petition into a petition for quashment of FIR as observed in the judgment reported as **“The State through D.G, ANF Rawalpindi v. Muhammad Saleem Khan” (2011 SCMR 863)**.

11. Consequently, while exercising the powers under Article 187 of the Constitution of the Islamic Republic of Pakistan, 1973, this petition is converted into an appeal and allowed in the

manner that the impugned order dated 06.01.2026 passed by the learned High Court and the order dated 09.12.2025 passed by the learned Additional Sessions Judge, Lahore, respectively, are hereby set aside and FIR No.3299 dated 17.10.2025 registered under Section 406 PPC at Police Station Islampura, District Lahore, is hereby quashed.

Islamabad, the
28th of January, 2026
Approved For Reporting
Khurram